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BUSINESS STUDIES

Paper 7115/01
Short Answer/Structured Response

General comments

The examination proved accessible for the well prepared candidate, and also differentiated effectively between candidates. As is often the case, candidates penalise themselves by a failure to read the question sufficiently carefully and by an inability to respond specifically to the command word. Thus a question that asks for an explanation requires more than a simple, factual, knowledge based response. Candidates need to be encouraged to think more about what they learn and not be content to merely repeat information. An area of specific weakness is an inability to interpret information that is presented in an unfamiliar way. Consequently **Question 3 (a)** posed particular problems for many candidates presumably because the graph was new to them. Virtually all candidates completed the paper and there was no evidence of any time related problems. Candidate's attention should perhaps be drawn to the following -

- An answer must be in context to score full marks.
- Show methods and workings in numerical questions.
- Explanation requires more than a list of facts.
- A 'do you think' question requires an opinion to be given and supported.
- Develop answers so that a conclusion emerges.
- Spend time thinking about what the question demands. Think before you write.

Specific Comments

1

(a)(i) Generally answered correctly. The most common error was confusion between total cost and revenue lines.

(ii) Again this was a high scoring question. A number of candidates gave Y and Z as the answer. The question specifically asked for the break even volume.

(b) A concept well known to most candidates. The main error was a failure to link the fixed costs to output, so that sometimes the answers said that it was a cost that is unchanged over time.

(c) This question proved challenging for many. Most answers focused on what a break even chart shows in terms of break even volumes, but few provided any evaluative comment regarding the usefulness of the chart in decision making. The question differentiated effectively.

(d)(i) This question proved more difficult than expected. Although many candidates correctly gave the formula for calculating rate of return on capital and produced the correct answer of 20%, a surprising number had no idea how to answer this question. Common errors included $400000 – $80000 = $320000. Simple calculations of this nature do not appear to be taught in some Centres.

(ii) Again this was a question that posed problems for many. Many vague answers were given along the lines that $80000 profit seemed quite high so it was probably acceptable. The Examiners were looking for some consideration of yardsticks that could be used to assess acceptability such as last years figures or rival companies. Simple financial understanding appears to be an area that is under taught.

(e) Most candidates were able to talk about the nature of cash flow and profit and loss. Only the better candidates were able to consider the relative importance of the two statements.

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2

(a) Generally, a well answered question in terms of knowledge. Unfortunately many candi to explain their reasoning. A typical answer might read 'raw materials are imported beca are of better quality'. This is not an explanation, merely a statement. This type of response half marks.

(b) Exchange rate questions always pose problems for some candidates. However, many were able to identify the fact that an appreciation of the currency would mean that imported costs would be less and this would be helpful to the company. Relatively few went further and pointed out that export prices would rise and this might damage sales.

(c) Many answers to this question missed the point. The stem of the question stated that the factory had just opened in country J and it expected its costs to be reduced as a result. In effect this was a location based question, not a general question about how costs might be reduced. So answers that stated 'because of economies of scale' could not be credited. Neither could answers that suggested that the company went to country J to be near its raw materials as the stem clearly pointed out that the raw materials were imported. Only the better candidates were able to contextualise their answers to score highly.

(d)(i) Generally well answered with many candidates making reference to rising GDP.

(ii) Many answers here were limited by the failure to appreciate the significance of the company being an exporter. However, most were able to gain 1 – 2 marks for realising the general effects on sales and profits of an economic boom.

3

(a)(i) This question proved difficult for many. A frequent error was to assume that company E operated a time rate system while company F used piece rates. The diagram clearly showed that the x axis was labelled 'output' in both cases so that there was no mention of time. Better candidates picked up on the major differences relating to the minimum wage offered by company E and the higher piece rate incentive offered by company F. This question discriminated particularly effectively.

(ii) Some interesting answers were often provided to the question, some of which demonstrated good understanding of the implications of the two systems. A common error was to assume that if you worked for company F you would earn more money.

(b) Answers to this question were often not very well focused. Many discussed the impact of money and largely ignored the significance of praise. However most candidates produced answers worthy of credit.

(c)(i) Well answered, with most candidates showing knowledge of possible reasons. Full marks were often awarded.

(ii) Candidates had little real understanding of the advantages of external training.

4

(a)(i) Almost all candidates gained full marks.

(ii) There was much repetition in the two benefits suggested by many candidates. In many cases the second point was often merely a rewording of the first point. However, the general understanding of the advantages of being a market orientated business was high.

(b) There was a general understanding of the basic concept that higher advertising expenditure leads to higher sales. Only the better candidates looked at the strength of this relationship. A minority of candidates got the relationship the wrong way round and suggested that higher sales led to higher advertising.

(c) Most answers focused on the link between lowering prices and increased sales. Better candidates considered the relevance of price elasticity of demand. Few candidates explored the contextual significance of a fashion business lowering prices to shift unsold stock. A number of answers failed to distinguish between temporary price cuts and permanent price reductions.

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(d) There were many competent answers to this question. General points about the a[illegible] of Internet selling were often well made. However, the contextual link to selling clothes [illegible] means was not well made. Candidates must be encouraged to think about the appropriat[illegible] a method in a given situation. There was clear evidence here that this rarely happens in [illegible] Centres. Without a contextual link it was difficult for the candidate to sensibly advise the comp[illegible] as to the best course of action.

5

(a)(i) The topic of communications was well understood by many candidates. Most were able to identify why good internal communications mattered. Some struggled at explaining the reasons.

(ii) Most answers showed some knowledge of the reasons why communication breaks down in organisations.

(b)(i) There were some excellent answers to this question. However, some Centres had clearly not taught this and this was shown in the vague and imprecise nature of some of the responses.

(ii) Much the same applied to this part of the question, but those who knew what was meant by a joint venture were usually able to identify advantages that it generated.

(c)(i) Most candidates were able to identify stakeholder groups.

(ii) Answers to this part tended to be simplistic. It was often suggested that this expansion by Wang Electricals would solve the unemployment problem of a country and hence the government would benefit. Although the broad concept may be correct, the degree to which it was operating seemed somewhat excessive!

Overall an accessible paper that differentiated well.

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